Table 54.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	51% up	49% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 39%, M 36%, H 32%	L –15%, M –12%, H –15%
Throwbacks/pullbacks occurrence	58%	64%
Average time to throwback/pullback peaks	5% in 5 days	–7% in 8 days
Average time to throwback/pullback ends	11 days	14 days
Average rise/decline for patterns with throwbacks/pullbacks	30%	–11%
Average rise/decline for patterns without throwbacks/pullbacks	39%	–19%
Percentage price resumes trend	60%	44%
Performance with breakout day gap	48%	–14%
Performance without breakout day gap	32%	–14%
Average gap size	$0.74	$0.81

The same can be said for price dropping after pullbacks. If a pullback occurs, it blunts the downward move. The energy that could have been used to power the stock into the ground begins a fight with the bulls as they push price higher during the pullback. After the pullback is over, there are fewer bears left alive to resume the push lower, so price doesn't drop as far as it would have if a pullback was absent.

Upward breakouts see price resume the breakout direction after a throwback completes, but not pullbacks. They tend to see price rise after a pullback ends (that is, 44% continue lower but 56% continue higher).

Gaps. Upward breakouts do best if a gap occurs on the breakout day. That's typical for many chart patterns. Downward breakouts show no performance difference.